Ep. 383: Jesper Koll on Japan's Capitalist Renaissance, Takaichinomics, and BOJ Rate Hikes

Podcast: Macro hive

AI Executive Summary

1. **Core Thesis** Jesper Cole argues that Japan possesses a resilient and optimal socioeconomic system ("Japan Capitalism") which continues to thrive despite the historical narrative of a "lost decade." The current economic recovery is being driven by Prime Minister Takaiichi, who has shifted strategy from broad-based stimulus to targeted industrial policy and meritocracy. Key drivers include significant government spending (370 trillion yen), privatization of debt markets, corporate governance reforms replacing seniority with performance, and the expansion of public-private partnerships for critical sectors like quantum computing and modular nuclear energy. While fiscal consolidation is ongoing in the US regarding AI financing, Japan's expected monetary normalization by the Bank of Japan (BOJ) to policy rates of 2.5%–3% positions the yen favorably for growth and re-industrialization.

2. **Key Arguments & Data**

3. **Japan's Systemic Resilience:** Contrary to deflation narratives, social indices (math literacy, birth/death rates, obesity) show Japan is "exactly where you want to be," with a strong optimization of holistic societal outcomes compared to other advanced economies.
4. **Policy Shift under PM Takaiichi:** Moving from the aggressive "Abinomics" yield curve control era to pragmatic, pinned industrial policy. Key achievement includes removing voluntary restraints on Japanese industry for exporting offensive weapons (defense-as-a-scale-business).
5. **Meritocracy & Corporate Reform:** Breaking with traditional seniority-based promotion ("smoky bag rooms") via a direct email campaign where ministers submitted job applications with five bullet points of goals. Companies are shifting KPIs and merit-based selection over age in HR (e.g., NTT divisions led by younger managers).
6. **Fiscal Plan Scale:** A 370 trillion yen stimulus plan (~60% of current GDP), tripled in ambition compared to the 1970s Tanaka Kakuei

program. Funded via Public-Private Partnerships (PPP) with 20-30% government funding backing for consortia (e.g., Hitachi/Toshiba).

7. **Corporate Capital Allocation:** Approximately 60–65% of Japanese listed company profits are generated overseas. Japan Inc. prefers foreign factory investments and share buybacks over domestic retention unless ROI is guaranteed. Energy costs remain a hurdle for capital-intensive industry.
8. **BOJ Normalization Expectations:** Bank of Japan policy rate normalization expected within nine months, moving from Yield Curve Control to private-sector-led markets. Target policy rate: 2.5%–3%.
9. **Yen & Exchange Rate:** Yen is currently intervention-stabilized weak. Forecasts suggest potential strengthening if the Fed cuts rates in response to US recession risks (e.g., AI financing bubble) while Japan hikes positive net interest margins.
10. **AI & Labor:** Contrary to Western fears, Japan exhibits high engagement with AI (80-87%) and views it as "Augmented Intelligence" rather than a threat to employment, due to favorable demographics for capital-over-labor models.
11. **Geopolitics:**
    - China: Business interactions down 25%, no longer a cost-effective producer for low-value goods (e.g., apparel).
    - Taiwan/Korea: Strengthening nexus between Japan and Taiwan (Foxconn/Melco deal, corporate control bids) as defense exports create head-to-head competition with Korea.

12. **Startup Ecosystem:** High government involvement in VC ("startup cosplay"). 75% of startup exits in H1 ended this year via acquisition rather than IPO.

13. **Actionable Takeaways**

14. **Monitor Corporate Governance Signals:** When screening Japanese equities, verify the presence of meritocracy and KPI-based management by checking division head demographics (younger leaders over seniority).
15. **Identify PPP Winners:** Watch for concrete implementation of government-industrial consortia, specifically in energy (modular

nuclear) and semiconductor sectors where state funding covers 20-30% of costs.

16. **Re-evaluate JGB Strategy:** With the Bank of Japan ending Yield Curve Control, prepare for a rise in long-end yields; private intermediaries are returning to market liquidity. Current valuations remain attractive but "cheap discount" status has faded.
17. **Follow Upstreams on Defense:** Capitalize on Japanese industrial firms entering defense export markets (Mitsubishi Heavy, Komatsu) as a primary growth driver for PM Takaiichi’s tenure.
18. **Track AI Investment:** Focus on applications and filtering rather than foundational model infrastructure; Japan's pragmatic approach suggests investment in operational integration tools over raw model training.
19. **Stay Informed via Substack:** Subscribe to "Japan Optimist" to receive updates directly from Jesper Cole, as it is the primary communication channel mentioned for real-time economic insight.

Full Transcript

Welcome to the Macrohype Conversations podcast. I'm Bilal Hafiz, Head of Strategy at Macrohype. Before we dive in, a quick update. Following Macrohype's acquisition by the BGC Group, BGC has launched a new regulated business called Macrohype Markets. For the first time, onboarded clients can also access execution services via Macrohype Markets. This new workflow will allow macro institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mozibriyan

Bloomberg or click the link in the description below for more details on McRide markets and its service offering. Now onto this episode's guest, Jesper Cole. Jesper is board director at the Okanawa Institute of Science and Technology, founder and board director of the Asia Society Japan, global ambassador at Monax Group and Tokyo Financial Center. Previously, he served as chief strategist and head of research in Japan for major US investment banks, including JP Morgan and Merrill Lynch. Now onto our conversation. Greetings and welcome, Jesper. It's fantastic to have you on the podcast. Thank you for having me. Well, before we go into the meat of our conversation, I do like to ask our guests something about their origin story. So it'd be great to hear in your own words what you studied at university. Was it inevitable you'd end up in finance and econ and some of the key sort of career masons that you've had over the years?

Okay, so I studied at university, which was a little bit all over the place. I studied mathematics and philosophy, and then got to work at the OECD, and then ended up in a graduate program at Hopkins University in economics and international relations. And he was trying to do a PhD comparing Germany. and the United States. This was in the early 1980s. So looking at financial deregulation, central bank control, and Japan became topical. You know, in 1984, there was the yen dollar court, which sort of laid out a program of deregulation of financial markets. And Hopkins University had the wisdom to send me to Japan in 1986. I was supposed to stay for three months. And I liked it very much. I very much enjoyed the

people I was with. I thought that Japan could become an interesting sort of hybrid.

between the German approach to financial regulation and the American approach to financial regulation. And my professor was very wise. He said, well, if you're crazy enough to become a Japan guy for the first year, get the hell out of Tokyo because you will spend the rest of your life in Tokyo. And I was fortunate they hooked me up with Kyoto University. And that's where I started really learning Japanese, did a little bit of study. And then my Japanese professor connected me to the LDP, the ruling Liberal Democratic Party. And they were looking for non-Japanese as aides or assistants. And I ended up getting a job for the LDP and stuck around there for about three years. I mean, was that common for the LDP to get outsiders? Or was that a new development?

At that time, it was the era of coxicah, of the internationalization. And it was actually the group around Prime Minister Nakasone, who was looking for some non-Japanese, and really, it was really just kind of like having a panda in a zoo almost, right? But I enjoyed it very much. And I really enjoyed working for two or three particular politicians, ended up raising some money for them. And sooner or later ended up in finance. You remember it was 1986 that the first foreign firms got a seat at the Tokyo Stock Exchange. And one of them, SG Warburgs, hired me as their chief Japan economist. And from then on, JP Morgan, Julian Robertson, Merrill Lynch, back to JP Morgan. I mean, I had a lot of fun over the last 35 or 40 years in Japanese finance.

That's fantastic but you've got an amazing track record and experience over that period. Now one of the things you've really been pushing I noticed in your writings is this idea that Japan works or the Japanese system capitalism works really well and that people under appreciate that because they have this kind of legacy perspective about the lost decade and they kind of just don't look at Japan correctly. So perhaps you can expand on that. But look, I mean, it's ultimately very simple. I mean, obviously, in our day jobs, we all need to make money by stocks going up or down, by bonds going up and down, and by forecasting the exchange rate. But look, at the end of the day, what are we doing this for? What is the purpose of financial

markets? What is the purpose of capitalism? At the end of the day, you need to look at society. And what type of society? What type of civil society do you have? What social infrastructure do you have in place?

And, you know, so in the early north, when Prime Minister Koizumi came in, you know, and Japan was supposedly sinking into the ocean of deflation, you know, I started, you know, at the time at JP Morgan, I started writing Japan Optimist pieces, basically sort of pointing out that, look, there's all sorts of things going on. But, you know, the overall socioeconomic system in Japan is actually very strong. I give you a very concrete example. I mean, if you construct you know indices of social problems and whether that's you know mathematics literacy whether that is infant birth death rates whether that's alcoholism whether it's obesity i mean you name it you actually find that Japan is exactly where you want to be. You know, the overall optimization of the holistic outcome for society, Japan is actually doing a very, very good job. And I do think that the socioeconomic system as well as the financial system at the end of the day works to produce a pretty optimal system of capitalism. That's why I call Japan capitalism that works.

Okay, understood. I mean, part of that, you know, I guess comes down to the performance of the equity market. And I suppose Abinomics or Al Bay onwards was kind of the phase, correct me if I'm wrong, where, you know, all the three arrows, I don't know if the cause or coincided with the sort of in the case of really recovering and doing very well. Is this from an international investor perspective, how would you participate in this story? But look, I mean, I think that the participation in the Japanese equity market, you know, you're in a wonderful phase right now. I mean, obviously, as it were, the easy money has been made. I mean, you know, when Prime Minister Abish.

showed up at the end of 2012, beginning of 2013, there was literally blood on the street in the sense of that you had an acute deflation problem. I mean, economists will tell you that at the time Abe took over in December 2012, the output gap, so the gap between potential and actual GDP was around minus 4%. And voila. mobilizing all resources and importantly for Abe to have a political team that he could steal horses with, right? And getting Bank of Japan governor Kuroda into place. I mean, a former hero at the

Ministry of Finance taking over the Bank of Japan and really doing some pretty unthinkable things in terms of not just quantitative ease, but then in the end also yield curve control, capping the tenure bond yield. So sort of the big, oh my God, there's blood on the street. You can buy Japan literally at 20 cents on the dollar. That period was in 2012, 2013, right?

Now, I think, you know, obviously the valuations are, in my opinion, still attractive, but it's no longer a super cheap discount that Japan brings to the table. What it does bring to the table under Prime Minister Takaiichi is a government that actually continues to be very proactive pro-growth. I mean, nobody here is looking to hike taxes. Nobody here is looking to cut back spending. Nobody here is looking to hike interest rates in a real hurry. Real interest rates in Japan continue to be negative. And I think the combination of a government that continues to run a proactive monetary and fiscal policy. Plus, and now it gets interesting, because I actually think that Japan is a stock picker's heaven right now, rather than the big macro game that Japan was in under the face of Abe. And let's talk a bit more about Takeichi-san. And so, you know, is she kind of a regime change, so to speak? Is she Abe part two? How would you characterize that? And what are some of the flagship policies that she has that maybe internationals or foreigners won't quite appreciate?

So it's very interesting. I think that she's got a huge branding problem in the sense of that, you know, when she came in, it was all about Abinomix 2.0, which kind of, you know, people took to take that, oh, it's pedal to the metal. She opposes interest rate increases, you know, she's in favor of tax cuts of more government spending, et cetera, et cetera. But I think that the reality is that she's much, much more pragmatic on trying to do pinpoint industrial policy. The biggest example, and you know, look, if you ask me, she's been in power for one year from an investor perspective, what's the most important thing that she's done? She has in February this year, she took away the voluntary restraint that Japanese industry had on exporting offensive weapons, right?

And at the end of the day for industrial Japan, which obviously is under pressure from rising competition from South Korea, but obviously particularly the People's Republic of China, opening that valve of using

defense. as a scale business or potentially scalable business rather than a public service project, what it was before. Ironically, and as a human being that's sort of sad, but from an investor perspective, the reality that you've got Mitsubishi Heavy, that you've got Komatsu, that you've got the Japanese industrial companies now being able to use defense as an export driver. That arguably for the old Japan, for the industrial Japan is actually the most important thing that she's done. Okay, and then we also hear about like merit-based letters and over sort of faction deals What exactly is that in terms of how she manages, you know all the different kind of peaks? Because I mean, you know Japan obviously is very very Collaborative is very group oriented. You know you build consensus rather than make top-down decisions. I mean we've all lived through that and now Prime Minister Takaiichi is not like that. You know, Prime Minister Takaiichi is a self-made woman who's got no particular brotherings, you know, within the LDP factional alignments. She never attends or barely attends political parties, you know, where you rub shoulders with the others and discuss in smoky bag rooms what's supposed to be happening and who gets what posed.

And as you point out, she reshuffled her cabinet just a couple of months ago. And the way she did that is she sent an email to the LDP sitting parliamentarians and said, tell me what job you want. And more importantly, tell me five bullet points of what you want to achieve if you were to get that job, which in the Japanese context is anathema to the way things are being done. So, you know, she's forcing a commitment. She's forcing a meritocracy. And ironically, she's also forcing transparency. Because even though these letters have not been made public, you know full well. If one of her cabinet ministers were to go against her, she could very easily publish that letter and point out that, look, the guy or the girl claimed to want to achieve these five things, but they haven't achieved any of them. Are you with him or are you with me?

So it's quite interesting. We see it obviously goes against the traditional Japanese way of seniority being the most important thing, introducing a meritocracy. You know, at the political level, I think sense a very, very strong message also to the corporate world. And this is where the investment case gets very interesting, because, you know, for a variety of reasons, including investor activism, as well as the scarcity of labor so that

you've got much greater labor mobility because particularly the young generation is now empowered. They're very happy to go search for jobs rather than committing to just one company like was the tradition before. So more and more Japanese companies are actually starting to introduce meritocracy. And if you go and analyze a Japanese company and you think you should be investing in this company, I urge all my investor friends to go and get an appointment with the head of human resources in that company. Because if you can actually go to NTT corporation and you can actually show that of their 58 divisions, they actually have a younger person being the head of the division.

selected on the basis of merit rather than just on the basis of that he or she is now 55 years old, therefore deserves to be the head of the division. If you can show that dynamics, the incentives within the firms actually starting to be based on a meritocracy, being based on KPIs rather than on seniority, then I think you've got a potential winner in the sense of that that's where productivity is going to start to actually grow. All right, it makes me kind of think one could construct some kind of equity basket where you filter by that metric. Now, before we go a bit more into the corporate side, I did want to ask about economics in terms of the fiscal plan. The scale seems quite large, and there's also this talk about sort of 10, 60, 30 funding splits. Can you explain a bit more what all of this means? It's super cool, because I mean, you know, Takahashi goes big. And I mean, 370 trillion yen.

I mean, let's put that in perspective. 370 trillion yen is about 60% of Japan's current GDP. The last time Japan ran a big top-down industrial policy was in the 1970s under Prime Minister Tanaka Kakoe. This was after the first or old shock to rebuild the Japanese archipelago. Tanaka Kakoe's program was about 20% of starting point GDP. So Takaiji is three times bigger than the ambitions of Tanaka Kakuei. And so the world goes, oh my God, this is bridges to nowhere. This is pork barrel politics. This is a recipe for overcapacity and unprofitable projects. But that's totally misunderstanding what's actually going on because this is all about public-private partnerships. where you've got the government potentially backing you up. If you make a project, if you want to build a quantum computing consortium and you bring Hitachi and Toshiba and two or three other companies into that consortium, the Japanese government will provide

funding for, let's say the project costs 100. The government will come up with 20, 25 or 30 of the funding and the remaining 80 or 70, they come from the companies themselves using their cash holdings, using their retained earnings or going to the bond market or going to the loan market. So that's the concept. The problem that we have, we are now at the end of October and we still don't have any single one concrete project.

So I think I'm a big fan of Takaiichi in the sense of that she's doing the right thing. In this age of uncertainty, provide a very broad industrial policy, 17 sectors. There's literally something in there for anybody, whether you're a pharmaceutical company, whether you're a bicycle company, whether you're a computing company, whether you're an anime company, right? Everything is in there, but. It's not going to be dirigist. It's not going to be top-down decided by Mehdi. It has to be the private companies coming together to actually provide those consortia, which sounds great on a sheet of paper. But I told Prime Minister Takahichi, it's like by December 15, if you cannot show me at least three concrete projects that are more than 5 billion.

I don't know what you're doing. And actually, on that, I mean, what's your sort of objective sense on why it hasn't happened? Is it because companies don't really buy into it? It's not culturally that just aren't used to these PPPs? Or is it just the question of just timing? You know, it will take time for everyone to understand it. And so some point next year, this will really take off. I think there's a couple of forces coming together. The first one is the lazy one, which is said, oh, She's a politician, and yes, she's got 60% popularity rating right now. But who the hell knows, in two years' time, she's not going to be around. So nice politics, great fireworks. But at the end of the day, me as Hitachi Corporation, I'm just using Hitachi as an example, me as Hitachi Corporation, am I really going to buy into this? Because for all I know, possibility of the program actually being run through for the next 10 years, right? I mean, be my guest. How high is the political capital that Meti, that the LEP, post-Takaiichi, is going to continue to invest into that sort of program, right? And the second one is more interesting, because that's sort of the natural skepticism that you've got towards any political process, right, anywhere in the world. But the second one is more Japan-specific.

which is that you and I know from having dealt with Japan for quite a while that in the old days, it is very true that Meti could direct companies to engage in certain businesses, in certain areas, because that's the way Japan Inc. worked. For the good of the country, we don't care about profits, we don't care about return on investment. But as you also know, Over the last decade, corporate governance in Japan has changed very significantly. We now do have outside directors. We do have independent directors. We do have a CEO generation that generally cares about return on investment. So as a result of that, it's very nice for you and I to put together on a white sheet of paper, oh, Japan needs a quantum computing consortia, right? But then you and I as board members of Hitachi Corporation, we look at this and say, yeah, that makes sense. But the return on investment for all intents and purposes is very, very murky. We are better off in building another factory by ourselves, or we are better off building another factory in the United States of America.

And I mean that goes to kind of the heart of the matter here. You know, one is what is the incentive for companies to use their earnings to not do share buybacks on one hand or alternatively just invest abroad. You know, some of your work shows that I think profits have gone overseas profits now account for I think 60% of listed companies earning from 20% earlier. So it kind of almost seems like Japan Inc. says all the money's abroad. And if we do have any profit or retain earnings for domestic uses, we'll just do share buybacks. And that's the most efficient thing to do. So first, is that an accurate representation? And what does that then mean? You make the important point. It is an accurate representation. It's actually almost two thirds of all the earnings of Japanese companies come from doing business with the rest of the world, right? The bulk of this is actually dealing with North America, with the United States in particular. And look at Nippon Steel. Nippon Steel isn't rushing to build another factory in Japan. You know, they are rather prepared to commit to U.S. steel and turning that company around despite all the political bonanza that that attracts, but the technology transfer and the prospective return on investment they judge is significantly higher than it is here in Japan. And so the question is for Takahichi, Can you actually change the rules and regulatory environment here in Japan to actually, you know, raise the possibility of a higher return on investment? And one of the big problems that they face is number one

energy costs, right? Because we're sitting here and we've been told by Meti for the last decade that the nukes are coming back on, but the reality is they don't.

you know, there is all sorts of reasons, you know, for why that is the case, you know, but it is still unpopular with the people. And the question of, you know, if I want to re-industrialize Japan, yes, energy, energy costs are a huge component that goes into that factor. And unfortunately, at this point in time, Meti, the Japanese government does not have a credible energy policy that guarantees for you and I as a capital intensive producer to actually invest here in Japan. Now, there's hope that this move towards modular nuclear reactors, so not the big guys, but the little ones that power a nuclear submarine, that power an aircraft carrier. If those can be produced more or less at scale, so that you can actually have localized nuclear power plants that just service, whether it's a data center, whether it's a factory, right? That's something that Meti is going to be betting big on. And I do expect that before the end of the year, we're going to see an announcement of some substantial public-private partnership to actually kickstart that industry. And is that something that would be domestic, like building those modular nuclear?

It is not like they buy it from China or something, or France. So it's very interesting, a uniquely important point. What I'm expecting, and again, this is pure me being optimistic, that this will be a domestic initiative here. We have seen Toshiba Corporation and Hitachi Corporation commit to a multi-billion-dollar project in Arizona under this 550 billion Trump agreement, inward direct investment into America. And in return, I will not hike your tariffs on you. So there is movement. The engineering is there. We know from Hitachi from Toshiba, we know that the engineering capability is there. But the local resistance to building anything nuclear, particularly at scale, is still very, very strong. And on that 550 billion commitment to the US, you know, how do you reconcile that with the focus on the domestic side then? Because in effect, Japan has kind of said, OK, we have to commit to the US investment. But then we also want to do domestic and companies in any case make more money abroad. So how do you square that circle?

So it's very interesting, right? Because I mean, you know, again, at this point in time, after one year of effectively this US-Japan 550 billion deal, we can find about 70 billion of supposed commitments, right? Of which literally three quarters is one company, Masayoshi Son and Softbank, right? And again, Masa God bless his heart, you know, Softbank basically runs an empire. There is no independent board. If Masa wants to get something done, he gets it done. Which again, you find that Japanese corporations are very, very reluctant to commit to that deal, because again, the return on investment is very murky. I mean, 9010 is the profit split. 90% of the profits go to the US, 10% go to Japan. Now, you try and earn a 5%, 6% rate of return under these sort of terms. That's going to be very, very difficult to actually justify that. And it's quite interesting. I think that this focus on the domestic revitalization or restructuring of the Japanese industrial base, I think that the domestic buy-in that Meti and that Prime Minister Takahichi is gonna get, right? We do need to see these cases, but I think that the probability is higher than to get it for further big-scale commitments into the United States of America. Now, if we kind of move on to market pricing now, you know, JGB yields long-end, yields have kind of been just marching higher steadily. Obviously, recently, just with the global rally, they've come down a bit, but nevertheless, it's been the subsequent move up.

The Yen is an interesting one where it's incredibly weak. There's been intervention, it's bounced a bit, but it's staying really, really weak, contrary to many people's expectations. And so given everything we've spoken about, how do you think about the outlook for JGBs and the Yen? So it's super interesting. So I expect that we will get over the next nine months an acceleration of Bank of Japan policy rate normalization. So I think that the crux of the matter is that look, we've had effectively 20 years of zero interest rates of which almost 15 years we had the 10-year bond yield kept at zero, which was very interesting because when Governor Corota started this, we got yield curve control and we're going to keep the 10-year bond within zero.

All my American friends said it can't be done. Operation twist was a failure. Well, they did it. And as you know, by the end of Governor Corona's term, the Bank of Japan was the only bid in the bond market for practically a

decade. There were less than 14 JGB traders left here in Japan. And Governor Ueda comes in. And his number one mandate is to actually reprivatize Japanese debt markets, to reliquify Japanese debt markets. They do away with yield curve control. The first thing that they stop buying ETFs, right? The second thing is they do away with yield curve control. The third thing is they raise interest rates. And the fourth thing is they cut back on the lending program for zombie companies that the Bank of Japan conducted.

So it was a normalization that happened. And what has become very apparent is that over the last three months, you actually have seen that the private savers, the private intermediaries, are now the dominant players in the JGB market again. So the Bank of Japan has pulled back. It has, as it were, crowded in private investors, private intermediaries into the whole system. And when you follow Governor Ueda, and particularly Deputy Governor Himino's commentaries, over the last two months, there's growing confidence that indeed now the liquidity within the JGB market is sufficient to actually warrant further interest rate increases in the policy rate. Which gets you to the interesting question, where is normal? Right? Yeah. I mean, one of the things that strikes me about Japan is that for so long, we think of Japan as a zero inflation country. But it's really like a 2% to 3% inflation country like any other country. Yet policy rates are way too low. So normal should at the very least be 2% where the inflation target is maybe higher. And so what do you think?

Look, I'm old-fashioned in the sense of that. I think for all intents and purposes, the good old Mr. Taylor from Stanford University, I mean, be my guest. There's plenty of ways that you can calculate the Taylor rule. But effectively, if you've got potential economic growth of around 1%, and you've got a desired inflation rate of around 2%, your policy rate should be around 3%. That would be neutral, right? And so I think that you and I hopefully will meet again this time next year, and the Bank of Japan policy rate is going to be two and a quarter to 2.5%. Yeah, and that's more than what most people are expecting. I come back to this point about, like, you know, okay, why did it take the Bank of Japan so long to actually have confidence that the financial system is strong enough to actually absorb increases in interest rates? Because it's one thing for you and I to say, oh,

For the first time in 20 years, I've got positive net interest margins. And so the money center banks, the big three megabanks, they make out like bandits. Their operating profits is basically at record high levels. But the secondary banking system got hurt by interest rates going up. They don't have the JGB traders. They don't have the risk managers. They don't have the systems.

And as a result of that, you know, this acceleration, the consolidation of the secondary banking system, you know, is accelerating now here in Japan. And that's very important. So it sounds like your rationale here, which makes sense, is that it's actually the sort of the reliquifying of the JGB market, the financial stability side is the reason that they've held back from hiking. So now that we're kind of that that side looks more normal, they can go ahead and hike like a regular. central bank bigwood exactly and this is very interesting right because i mean the americans always get angry when i say this but it's like look i mean you and i can talk about the inflation target we can talk about the federal reserve has a dual mandate oh my god you got to take employment into consideration all these wonderful debates about you know inflation targeting is the cpi tracking inflation correctly what is the correct measure that you should be looking at etc etc To me, all of this is very important, and it's obviously our day job, right? But at the meta level, the most important thing is the primary target, the primary client of any central bank is the financial system. And in Japan, coming back to this point that people forget, I've had 10 years, more than 10 years, of the banking system being in a straight jacket, being a public utility provider, providing a de facto zero interest rates to the government as well as to the private sector borrowers. Reliquifying that.

By hiking policy rates, by liberalizing the long end of the 10-year part of the bond rate, there's some stress and strain that obviously came into the system. Now, what has changed over the last couple of months is the confidence that the financial system is strong enough to take it, the confidence that indeed the private equity firms will provide capital to consolidate the secondary banking system, that the activists do indeed know what they're doing when they're calling for secondary banks, for shinking banks, the whole credit cooperatives for all of this consolidation to actually start to happen. That confidence has grown. As a result of that, I do expect

that the Bank of Japan, by the time Governor Ueda leaves, I think that the policy rate in real terms will actually be positive.

right, which is really where you want to be. And that's when you know you've successfully normalized monetary policy in Japan. I mean, what does that all mean for the 10-year JGB or the 30-year JGB or the long end? I mean, is this a phase where the front end does all the work, so the long end is fine, or are we in this phase where the long end reprises dramatically? Look, what I think, you know, obviously the curve has steepened tremendously. I think that we don't know, but I think that the proper spread between the policy rate, if neutral is 2.5% to 3%, to a 10-year bond should probably be somewhere around plus 200 basis points.

So I think, of course, there's going to be ups and downs, depending on liquidity, depending on perceptions of inflation, et cetera, et cetera. But I think structurally, the cost of debt in Japan is still about 150 to 200 basis points too low. Yeah, I understood. And what about the Japanese yen? Because if they do end up hiking as much as you think they will, then finally the yen should strengthen. Because you seem to have some kind of floor on the yen in terms of yen weakness for the intervention. But you kind of need a catalyst to help it move to the spending trend. It's very interesting. And I mean, you know, I'm now not talking as an economist, but as somebody who once lost a lot of money by being very long the dollar. And I got Japan perfectly correct. But I completely misjudged what was going on in America. I mean, you talk specifically about the exchange rate, right? We've obviously got this never ending debate about the carry trade.

And as you and I know, anybody who actually has to make money, has to make a living out of trading currencies, yeah, if there's positive carry, I will play this. There's no question about this, right? So it becomes a relative game. And I think that my personal opinion is that the probability for the next six months of the Bank of Japan and the Federal Reserve more or less moving in lockstep I think that that probability is quite high. So I don't see an immediate reason for why we're going back to 125-115. But I do think that a recession in the United States is overdue. I do think that the leverage in the United States system because of the AI bonanza, the AI financing bonanza, that that's gonna run its course, which means that at some point

over the next 12 months, the Federal Reserve will start to cut. And when they start cutting, they will not do it the Japanese way, which is, oh, we cut but we don't really mean it. They will stand in front of CNN and they will tell you, There's risk of a recession. The financial system is precarious. We've just cut 50 basis points. And trust me, there's more where that's coming from. So I think that by the time Germany wins the World Cup, it's going to be 1,100. OK. Well, that Germany win the World Cup, that may be a long time then. And hence, the currency forecast may be a long run. Oh, we've got a new coach. There's a new coach who, you know? Yeah. I'm a big fan of that coach. I spoil your book all. I did want to ask, you mentioned AI. What's the story of AI in Japan?

Look, three things. At the meta level, the fear of AI taking over and forcing mass unemployment is simply not there, right? And it's obvious where the demographic sweet spot from an AI perspective, Japan is in a demographic sweet spot, right? Because, you know, having more capital as opposed to labor is exactly what I need, right? Given the demographic profile that Japan has. So number one, you know, there's no economic angst that machines are going to force mass employment. I think that the second element is that the Japanese take a very pragmatic approach, which is that AI, the large language models, the foundational models are all going to be commoditized. that this is going to end up being a raise to the bottom, that anthropics dream of having a monopoly or oligopoly is not going to come to place, that there's going to be a raise to the bottom with the commoditization of the foundation models actually coming through. So building a machine that selects which is the most cost-effective AI for the particular problem that I want to solve. That's what the Japanese AI community is actually focusing on. So having a funnel, having a filter that allows you to pick and choose rather than trying to get into this race of building another foundation model because everybody else is doing that already, so we can buy cheaper. Absolutely. I also know that you do taking interest in the startup world as well. And there is this notion that Japan wants to be a startup nation. But you've looked into it more closely and you've kind of seen a number of blockers and problems. I mean, tell me more about this. So this is super interesting. I mean, let's start since I'm an optimist, let's start with the bad news. The bad news is that if you look at startup funding over the last 18 months, you actually find that about two

thirds of all the startups where private venture capitalists invested in, right? About two thirds of them also received money from the Japanese government, which tells you should raise some antennas in the sense of, you know, what my friends call startup cosplay, right? There's obviously a risk that after having done nothing for so long that the Japanese government is now doing a little bit too much.

to actually support startups who, I mean, come on, you're supposed to swim with sharks. You're not supposed to be protected right from the word get go. The good news in the startup world is that this year until the end of September, we had 75% of the exits of startups being acquisitions by established companies. That's new. Remember, it used to be basically 15-20 percent were mergers and acquisitions, 80 percent were IPOs, and the IPOs were all too early, or most of them were way too early. It was just Daiwa or Nomura trying to make a little bit of money, etc. The true transformation of the startup culture, at the end of the day, is not the number of startups that you have, but is whether the established companies can actually incorporate the startup spirit, the DNA, the intellectual property, and the way of doing business that a startup actually brings to the table. That's, I think, where Japan over the last 12-15 months has made great progress when you see established companies actually buying startups not to kill them.

but to actually grow the business internally and then get it onto the scale ramp. Now, I mean, we touched on the US. How do you see or how does Japan see itself in relation to the other big East Asian players, Korea, Taiwan, and obviously the big guy in the black China? Look, I think that, obviously, let's start with the People's Republic of China. I mean, first of all, you still find that around 18% of corporate profits from listed companies are generated from dealing with the People's Republic of China. Now, we have seen over the last two years a relatively sharp reduction in the number of Japanese companies doing business. with the People's Republic of China. They do a survey every year and they found that the last 12 months, the number of Japanese companies doing business in the People's Republic of China has declined by about 25% and is basically at a 30 year low. Now, obviously we can talk politics, be my guest, but there is also a pragmatic element to this, which is that China is no longer the cheapest cost producer.

For example, fast retailing made its business out of exploiting in the mid-1990s the cheap costs provided in China using Japanese technology, exporting the looms to China and then contracting it back out to Japan. Mr. Yanai, who likes China, has no problems in doing business with any political regime on earth. But basically, about eight years ago, they said, look, China has become too expensive. I'm better off setting up a factory in Bangladesh, setting up a factory in Indonesia, setting up a factory in Vietnam, because the cost efficiencies in the People's Republic of China has now been arbitraged out. So, you know, I think from that perspective, yes, we want to talk politics. But there's also the reality that China has become, dare I say, mature, right? And as a mature market for some of the low value added, like Apparel, for example, you know, China is just no longer attractive as a production country. Okay. And that makes absolute sense. And Taiwan in Korea?

So it gets super interesting because the nexus between Japan and Taiwan is actually growing very strongly. We talked a little bit earlier about the market for corporate control. You may have seen that about 7% of listed companies last year received a takeover bid. Only about half of them were consummated, right? But still, the fact that you've got Kultash, a Canadian company bidding for 7-Eleven, without being thrown out of the country with the elite in Japan saying, yeah, Bravo, that's good. You guys figure it out. That's a huge change in corporate governance. The point I was going to make, of the 7% of companies that received the takeover bid, about 12% were Taiwanese companies trying to buy a Japanese company.

which is very, very interesting, you know, that you've got that nexus. And just a couple of weeks ago, you had Foxconn, right, buying a 50% stake in Melco, you know, Mitsubishi Electric, right, which is very, very interesting because I think, you know, obviously Foxconn knows a thing or two about electric cars, knows a thing or two about how to aggressively commercialize modern electronic manufacturing. So I think that the Taiwan-Japan nexus is actually gonna get stronger from here on. And you may have seen politically, Japan just two weeks ago, actually, if you apply for a visa from Taiwan to Japan, you can actually use... Taiwan as nationality, which is new. You know, it had to be basically China, right? So it's interesting. I mean, there's obviously at the diplomatic, at the political

level, there's some rumblings, you know, some feathers going on. Korea, you make a very, very important point. You know, the nexus is obviously there. But Japan's newfound ability to enter the global market for military and for defense products and for aggressive products, it's head to head with Korea. Over the last 10 years, one of the great success stories was the Korean armaments industry and how quickly they gained international traction. You will now find that actually Japan and Korea are going to become more competitors because Japan is, as it were, encroaching on their field.

Okay. Now, the great points there. Now, I did want to move to some non-macro questions, a couple of more personal questions. One is youngsters these days, they're all feeling very nervous about AI. Many people have graduated, are struggling to find jobs, at least in the West, certainly. What advice would you give to youngsters as they enter the job market or as they're trying to find their feet? It's super interesting because you actually have a great confidence here. In the sense of like, look, AI is just another machine. I mean, if you look at these global opinion polls, are you scared about AI or are you excited about AI? Japan is the clear outlier. Why would I be nervous? Nervous Japan is way below anywhere else. Are you excited? It's the next level of technology. We just use it for a country that grows up with Gundam, that grows up with Rocketman, Astro Boy, and all of these things.

Technology is technology is technology. It's not a super threat. In Japan, we say not artificial intelligence, we say augmented intelligence. And the perception that, oh, yes, my job is at risk, not from AI, but my job is at risk from somebody who knows how to use AI. That consciousness is very, very strong. And if you look at actually sort of surveys in terms of like, are you engaged? personally with AI, Japan ranks very, very high. I think 80, 87 percent of the people are already engaged with AI. Now, when you look at the corporate world, do we actually use AI to change our proud internal processes? Japan legs the rest of the world significantly. But what else is new? We still have the fax machine.

So changing proud internal processes, but you ask about the young generation. So I think, do I have to give lectures about, oh, you need to

know how to prompt an AI properly? No, because that comes naturally to them. The more interesting one is the ability to actually be global, to be international, to speak English. to be able to communicate, to have the human-to-human interaction, which an AI hopefully for quite a while is still not going to be able to do, that's the part where, as you know very well from having yourself engaged with Japan for a long time, I mean, again, the communications ability as a human being is just very low. And there is a danger that, oh, I don't need to learn English because AI is going to do all the translating for me.

which is not the way it's going to be for the successful deal makers. There's great points there. And then the other question I had for you was in terms of books. I know you're into your books. So what are some of the books that have influenced you of your lifetime or maybe even recent books that you've liked? Oh, that's a very, very good question. It's interesting because, you know, particularly on sort of the Japanese economy, right? I'm at the moment very obsessed as it were with sort of the history that Japan went through after the major restoration into Taisho and then into the beginning of Showa, right? You know, and where you see some parallels, I mean, history rhyming in terms of Japan being isolated from the international community, right? After whatever happened in Manchuria, but at the same time, the domestic confidence, right?

actually being very, very high. So there's a wonderful book called War and Culture by former Harvard professor Akira Akie that is, I think, required reading. I think the other history, there's a wonderful book on the Tokyo Trials. Right? After the war, we had the Tokyo war crime trials. You know, there's a wonderful book, sorry, that the author just escapes. It's called the Tokyo trials. You know, that again, sheds just so much light on the relationship between particularly the United States of America as the winner of the war, as the guardian and dictator almost, you know, during the occupation. and Japan's reintegration into the international order. Absolutely fascinating books. That's fantastic. Now, final question. If people wanted to reach out to you, follow your work, what's the best way for them to do that? It's super simple. There's a sub-stack.

that's called Japan Optimist. If you ping me on that one, then that always gets through. Great. That's been excellent, Jasper. I mean, we've covered so much ground. I've learned so many new facts and points. All I have to say is keep up the good work, and I urge all of our listeners to follow you on Substack. Thank you very much for having me. That was fun. Thanks for listening to this episode. Please subscribe to the podcast show on Apple Spotify. Or if you listen to podcasts, leave a five star rating. A nice comment and let other people know about the show. We'd be very, very grateful. Sign up for free newsletter at macrohigh.com. MacroHive retains all ownership, title, rights and interests in this audio and video and all related content, including audio transcripts, thumbnails and descriptions. You may share links to this publication and embed it using platform-native features. You must not, whether in whole or in part, download, copy, reproduce, redistribute, re-upload, edit client or create derivative works from this content without the express written authority of MacroHive. This audio and video is made available to you for general information purposes only and does not constitute the recommendation of any investment product to act or not to act in any way whatsoever and does not represent an offer, or the solicitation offered to buy or sell any securities, financial products or related financial services, or to adopt an investment strategy. To the fullest extent, permitted by applicable law, Makohive excludes all representations or warranties of any kind, including any implied, warranty of merchantability, satisfactory quality of fitness or particular purpose. To the maximum extent, permitted by applicable law, Makohive excludes all liability for any losses, whether direct or indirect that may be suffered as a result of reliance on this audio or video. Unless otherwise stated, the views, information, or opinions expressed during this audio or video are solely those of the speaker and do not necessarily represent those of MacroHive or its staff. Copyright 2025, MacroHive Ltd. All rights reserved.